patient and more focused on the long-term.

Here is his portfolio turnover by decade:

1921 - 1929	55%
1930 - 1939	30%
1940 - 1946	14%

Turnover was just one aspect of Keynes's change. Another was how he reacted during market declines. From 1929 to 1930, Keynes sold one-fifth of his holdings and switched to bonds. But when the market fell in the 1937–1938, he added to his positions. He stayed 90 percent invested throughout.

This is a remarkable change. It again reflects less concern about short-term stock prices. He was clearly more focused on the value of what he owned, as his letters show. The authors of the paper note of Keynes's change, "Essentially, he switched from a macro market-timing approach to bottom-up stock-picking."

In a memorandum in May of 1938, Keynes offered the best summing up of his own philosophy:

1. careful selection of a few investments (or a few types of investment) based on their cheapness in relation to their probable actual and potential intrinsic value over a period of years ahead and in relation to alternative investments;
2. a steadfast holding of these investments in fairly large units through thick and thin, perhaps for several years, until either they have fulfilled their promise or it has become evident that their purchase was a mistake; and
3. a balanced investment position, that is, a portfolio exposed to a variety of risks in spite of individual holdings being large, and if possible, opposed risks.

Here is one last bit of advice from the same memo:

> In the main, therefore, slumps are experiences to be lived through and survived with as much equanimity and patience as possible. Advantage can be taken of them more because individual securities